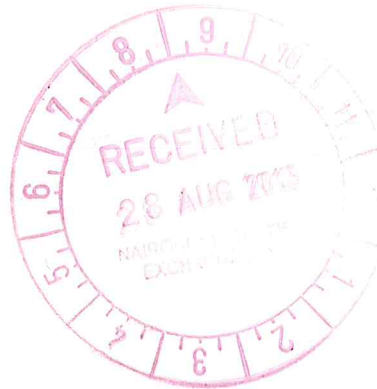




TOTAL KENYA LIMITED



Our Ref: G10.189.0002

27th August 2013

The Chief Executive
Capital Markets Authority
Embankment Plaza
Upper Hill, Longonot Road
P.O. Box 74800 – 00200
Nairobi

Advance copy by Fax
Original by recorded delivery

Dear Sir,

RE: TOTAL KENYA LIMITED'S RESULTS AS AT 30TH JUNE 2013

Reference is made to the above.

We enclose the Company's Income Statement, the Balance Sheet, Statement of cash flow, Statement of changes in equity and a brief comment as at 30th June 2013 to be published in the press for your records.

Yours faithfully,
TOTAL KENYA LIMITED

Maurice K'Anjeio
CORPORATE AFFAIRS MANAGER

cc: The Chief Executive Officer
Nairobi Securities Exchange
Nation Centre, 1st floor
NAIROBI

Encl.

Regal Plaza, Limuru Road, P.O. Box 30736, 00100 GPO Nairobi
Tel: (254-20) 2897000 / 0719 027000 ; Fax: (254-20) 2666973
E-mail: administrator@total.co.ke ; Website: www.total.co.ke

Directors: Momar Nguer*, Jean Papee*, Alexis Vovk*(Managing), Alice Mayaka (Mrs.), Vincent Guerard* (*French)

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TOTAL KENYA LTD			
STATEMENT OF FINANCIAL POSITION			
AS AT 30 JUNE 2013			
	30 June 2013		31 Dec 2012
	KSh'000		KSh'000
ASSETS			
Non current assets			
Property plant and equipment	8,866,981		8,910,622
Deferred taxation	423,367		304,844
Goodwill	416,679		416,679
Total non-current assets	9,707,027		9,632,145
Current assets			
Inventories	11,611,181		13,794,942
Accounts receivable and other assets	10,504,001		9,054,343
Cash and bank balances	774,797		499,174
Total current assets	22,889,979		23,348,459
TOTAL ASSETS	32,597,006		32,980,604
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	9,974,771		9,974,771
Share premium	1,967,520		1,967,520
Revenue reserve	2,585,779		2,250,385
Shareholders' equity	14,528,070		14,192,676
Non Current Liabilities			
Long term provisions & deposits	1,000,753		854,765
Total Non Current Liabilities	1,000,753		854,765
Current liabilities			
Trade and other payables	8,626,308		13,772,509
Short term borrowings	8,441,875		4,160,654
Total current liabilities	17,068,183		17,933,163
TOTAL EQUITY AND LIABILITIES	32,597,006		32,980,604
TOTAL KENYA LTD			
STATEMENT OF COMPREHENSIVE INCOME			
FOR THE PERIOD ENDED	30 June 2013		30 June 2012
Turnover	65,789,573		48,016,798
Indirect taxes	(5,983,786)		(5,806,117)
Net turnover	59,805,787		42,210,681
Cost of sales	(56,942,364)		(39,477,861)
Gross profit	2,863,423		2,732,820
Other income	219,415		172,620
Operating expenses	(2,103,856)		(2,054,157)
Operating profit	978,982		851,283
Finance costs - net	(154,589)		(1,145,304)
Foreign currency exchange differences	(67,337)		11,200
Profit / (Loss) before taxation	757,056		(282,821)
Taxation	(295,753)		23,094
Net Profit / (Loss)	461,303		(259,727)

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TOTAL KENYA LTD			
Statement Cash Flows			
For the period ended		30 June 2013	30 June 2012
		KSh'000'	KSh'000'
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash used in operations		(3,124,245)	(3,972,904)
Taxation paid		(295,500)	-
Net cash used in operating activities		(3,419,745)	(3,972,904)
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(446,193)	(186,288)
Proceeds on disposal of property, plant and equipment		14,929	3,271
Net cash used in investing activities		(431,264)	(183,017)
CASH FLOWS FROM FINANCING ACTIVITIES			
Interest paid		(154,589)	(1,145,304)
Medium Term Loan repaid		-	(351,000)
Proceeds from issuance of preference share capital		-	5,200,000
Net cash (used in) / generated from financing activities		(154,589)	3,703,696
Net decrease in cash and cash equivalents		(4,005,598)	(452,225)
Cash & Cash Equivalents as at 1 January		(3,661,480)	(10,031,054)
Cash & Cash Equivalents as at 30 June		(7,667,078)	(10,483,279)

TOTAL KENYA LTD				
STATEMENT OF CHANGES IN EQUITY				
FOR THE PERIOD ENDED 30 JUNE 2013				
	Share Capital KSh'000	Share Premium KSh'000	Revenue Reserve KSh'000	Total Equity KSh'000
As of 1 January 2012	4,774,771	1,967,520	2,452,527	9,194,818
Issued share Capital	5,200,000			5,200,000
Dividends declared			-	-
Profit for the year			(259,727)	(259,727)
As of 30 JUNE 2012	9,974,771	1,967,520	2,192,800	14,135,091
As of 1 January 2013	9,974,771	1,967,520	2,250,385	14,192,676
Dividends declared			(125,909)	(125,909)
Loss for the period			461,303	461,303
As of 30 JUNE 2013	9,974,771	1,967,520	2,585,779	14,528,070

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MESSAGE FROM THE DIRECTORS

The company's performance for the first half of 2013 is in line with management's projections and demonstrates that the action plans that had been put in place have borne fruit, resulting in positive result unlike the negative result for the same period in 2012.

Sales volumes grew by 58% from 393 KMT in 2012 to 621KMT in 2013 buoyed by OTS sales of 198KMT and increased sales in Network, LPG, Lubricants and Export channels. These led the company to reclaim its leadership position of the inland market share which stands at 21.1% as at June 2013. Turnover increased by 42% mainly as a result of the increase in sales volumes while cost of sales increased by 44% resulting in a lower unit gross margin of 4.8% of net turnover in 2013 compared to 6.5% in 2012. This reduction of unit gross margin is attributable to the OTS sales that have low margins but is more than compensated by the increase in sales leading to a 5% growth in gross profit from kshs 2,733 million in 2012 to kshs 2,863 million in 2013.

Other income increased by kshs 47 million mainly due to a gain on disposal of assets of kshs 10 million compared to a loss on disposal of kshs 11 million in 2012. Operating expenses are well controlled and increased by only 2% compared to annualised inflation of 4.2%. As a result of the increase in gross profit and other income, operating income increased by 15% compared to the same period in 2012.

Finance costs decreased by kshs 991 million (87%) due to reduction in borrowing from banks following receipt of additional financing in the form of preference share capital in June 2012 of Kshs 5,200 million coupled with reduction in working capital requirements and lower average interest rates on short term loans and overdraft. In spite of the volatility of the Kenya shilling against the major world currencies, foreign currency risk exposure remained well controlled and the net currency exchange loss for the period was only Kshs 67 million.

The company therefore realised a profit before tax of kshs 757 million compared to a loss before tax of Kshs 283 for the same period in June 2012 and a profit after tax of Kshs 461 million compared to a loss of kshs 260 million in June 2012.

On the balance sheet, the company's debt to equity ratio remained strong at 53% whereas on the cash flow statement, the company has fast-tracked projects by investing a total of kshs 446 million compared to kshs 186 million for the same period in 2012.

OUTLOOK

The macroeconomic environment has remained largely stable save for the shilling exchange rate against major world currencies that has been volatile. Positive engagement between the government, the oil marketing companies and Kenya Petroleum Refineries should ultimately pave way for better operating environment and improved supply.

The company will continue to participate and win OTS contracts to boost performance by ensuring steady product supply to all the business channels while the management will also continue to focus on